SOMALILAND

Banking System and Economic Development

A Comprehensive Analysis of Financial Infrastructure and Growth Prospects

Based on Current Data and Research (2024-2025)

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I. Country Overview

Geography and Demographics

Somaliland is a self-governing territory in the Horn of Africa that declared its independence from Somalia in 1991. It has maintained its own government, currency, and institutions for over three decades, though it is not yet recognised as a sovereign state by the United Nations or the African Union.

6.25M

Population (2024)

176,119

Sq km Area

$4.28B

GDP (2024)

$912

GDP Per Capita

Historical Context

Somaliland's economy was devastated during the civil war that led to the collapse of the Somali state in 1991. However, the territory has demonstrated remarkable resilience, rebuilding its economy from the ground up with minimal international assistance. The government relies mainly upon tax receipts and remittances from the large Somali diaspora, which contribute immensely to Somaliland's economy.

II. Banking System

Historical Development

The banking sector in Somaliland has its roots in traditional Hawala (remittance) systems, which historically served as the primary financial institutions for cash deposit-taking, credit, and lending. Over the past ten years, Somaliland has experienced significant growth in its banking industry, marked by the emergence of commercial banks.

Timeline of Banking Development

- 1994: Bank of Somaliland established as central bank
- 2000-2010: Emergence of Dahabshiil and Telesom
- 2010-2020: Growth of commercial banking services
- 2024: First Institutional Diagnostic Assessment by KPMG
- 2025: Launch of Wadaag Bank, new banking reforms

Current Structure

The financial sector of Somaliland consists of various institutions, each playing a crucial role. The Sharia board overlooks all the institutions in the financial sector to ensure compliance with Sharia Law. Somaliland operates a fully Shariah-compliant financial system.

Key Features

- **97% Financial Inclusion:** As of 2024, the national financial inclusion strategy estimates that 97% of adults have access to a regulated institution, mostly through mobile money

- **Dominance of Mobile Money:** Mobile money is the primary mover of large transactions and remittance providers in foreign trade
- **Strong Hawala System:** Traditional remittance system built on trust that bridges the gap from formal financial services
- **Dollarisation:** The economy is heavily dollarised with high import reliance for basic provisions
- **Oligopolistic Market:** Providers extend services beyond banking, presenting unique supervisory challenges

III. Bank of Somaliland (Central Bank)

Overview

The Bank of Somaliland was established in 1994 to function as both the monetary authority and the treasury of the government and serve as the primary regulatory authority overseeing the banking sector in Somaliland. It is the nation's central bank, responsible for maintaining monetary stability, regulating the financial sector, and promoting a sound and efficient payment system.

Mandate and Functions

Function	Description
Currency Issuance	To issue Somaliland Shilling banknotes and coins
Monetary Policy	Formulate and implement monetary and foreign exchange policies
Regulation	Issue licenses and regulate, inspect, supervise, and monitor banks and financial institutions
Government Banking	Act as the banker, advisor, and financial agent of the Government
Payment Systems	Establish, promote, and regulate payment systems including clearing and settlement

Strategic Goals

- Issue a viable national currency and develop effective monetary and foreign exchange policies
- Strengthen the financial system's stability, effectiveness, and inclusiveness
- Enhance the financial market infrastructure to ensure safe payment systems
- Promote good governance, institutional resilience, and operational excellence

Recent Developments (2024-2025)

In recent years, the Bank of Somaliland has embarked on a comprehensive transformation agenda. A key milestone was the undertaking of the first-ever Institutional Diagnostic Assessment, conducted by the globally renowned firm KPMG. This assessment has provided a clear, evidence-based roadmap for institutional strengthening, governance reform, and operational modernization.

Key Initiatives

> ***SPRING Project:*** *In partnership with the World Bank, the Bank of Somaliland is advancing critical reforms including the development of a robust policy and regulatory framework, investment in modern IT infrastructure, and comprehensive staff capacity building.*

- **National Payment System:** In partnership with Mojaloop Foundation and AfricaNenda Foundation, implementing the country's first Instant Payment System (IPS) and national switch
- **Depositors Insurance:** Protecting bank deposits to enhance trust in the financial system
- **Credit Reference Bureau:** Promoting transparent credit reporting to support responsible borrowing and lending
- **Somaliland Commercial Bank:** Separating the functions of the central and commercial banks

International Partnerships

The Bank of Somaliland has actively engaged international partners to provide both financial and technical support. In September 2022, BoS achieved regulatory and supervisory membership from the Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI). In 2024, the Bank established the Somaliland Banking Institute to promote financial education and enhance capabilities of personnel within the financial sector.

IV. Commercial Banks

Licensed Banks

The banking sector in Somaliland consists of several commercial banks. As of 2025, the following banks are licensed to operate:

Bank Name	Location	Type
Dahabshiil Bank International	Hargeisa	Commercial Bank
Daarasalaam Bank	Hargeisa	Commercial Bank
Premier Bank	Hargeisa	Commercial Bank
Amal Bank	Hargeisa	Commercial Bank
IBS Bank	Hargeisa	Commercial Bank
Wadaag Bank	Hargeisa	Commercial Bank (New 2025)

Banking Sector Statistics

$455M

Total Bank Financing (2022)

12.7%

Private Sector Credit to GDP

1.1%

36%

Non-Performing Loans	Average Cash Reserve Ratio

Wadaag Bank: A New Era

On 31 August 2025, Somaliland President Abdirahman Mohamed Abdillahi (Cirro) inaugurated Wadaag Bank at a ceremony in Hargeisa — formally launching a new Shariah-compliant commercial lender that its founders say will expand access to financial services, support local production and attract investment into the economy.

> *"We welcome everyone living in the country, the diaspora, businesspeople and youth to buy shares in the people's bank, Wadaag Bank."*
>
> *— Abdirashid Baaxeer, Chairman of Wadaag Bank*

Wadaag Bank Features

- **Digital-First:** Fully digital, Shariah-compliant institution
- **Community Focus:** Name means "to share" in Somali
- **Products:** Personal and business loans, savings, fixed-deposit schemes, microfinance, insurance
- **Sector Financing:** Livestock, fishing, agriculture, health, education, real estate
- **Hagbad Digitization:** Formalizing the traditional Somali rotating savings system
- **Diaspora Gateway:** Digital platform for Somalilanders abroad to send or invest funds

V. Mobile Money and Fintech

Overview

Mobile money has become the dominant financial service in Somaliland, with the majority of transactions conducted through mobile platforms. The two major players, Dahabshil and Telesom, have become central to the financial services in Somaliland offering remittance, banking, microfinance and mobile money services.

Key Players

Provider	Service	Features
Telesom	Zaad Mobile Money	Mobile money transfers, payments, savings
Dahabshiil	eDahab	International remittances, mobile banking
Somtel	Somtel eDahab	Mobile money, international transfers

Impact on Financial Inclusion

Mobile money has revolutionized financial access in Somaliland. As of 2024, the national financial inclusion strategy estimates that 97% of adults have access to a regulated institution, mostly through mobile money. This represents one of the highest financial inclusion rates in Africa.

Challenges

- **Limited Regulatory Oversight:** Mobile money services present a huge risk exposure due to limited regulatory oversight
- **Interoperability:** Different platforms are not fully interoperable
- **Digital Literacy:** Some populations lack digital literacy to fully utilize services

- **Security:** Cybersecurity concerns with digital transactions

Future Developments

The Bank of Somaliland is implementing the country's first Instant Payment System (IPS) and national switch in partnership with Mojaloop Foundation and AfricaNenda Foundation. This infrastructure will enable real-time, interoperable, and low-cost digital payments across financial institutions.

VI. Economic Overview

GDP and Growth

Somaliland's GDP has shown steady growth over the past decade, despite challenges such as drought, livestock bans, and the COVID-19 pandemic. The economy is largely driven by the private sector, with the government footprint limited to under 10% of GDP.

Year	GDP (Current Prices, USD)	GDP Per Capita (USD)	Growth Rate
2018	2,278 million	573	2.5%
2019	2,813 million	688	6.2%
2020	2,927 million	697	-3.1%
2022	4,567 million	788	4.2%
2024	4,280 million	912	2.8%

Economic Structure

Somaliland's economy is characterized by:

- **Livestock Dominance:** Livestock accounts for 30-45% of GDP and the vast majority of exports
- **Import Dependence:** Imports amount to over 45% of GDP, with consumer goods making up 73% of imports
- **Remittance Economy:** Remittances valued at approximately $1.4 billion annually

- **Private Sector Led:** The private sector is the primary driver of economic activity
- **Dollarised Economy:** Heavy reliance on the US dollar for transactions

Government Revenue and Expenditure

The government runs a balanced budget policy with limited room for monetary policy interventions. Import duties account for approximately 41% of the government's total revenue. Expenditure is focused on security, governance, and economic sectors.

Year	Revenue (SLS Billions)	Expenditure (SLS Billions)	Surplus/Deficit
2018	1,507	1,485	22
2019	1,789	1,738	51
2020	2,090	2,042	48
2021	2,255	2,167	88
2022	2,421	2,410	11

VII. National Development Plan II (2017-2021)

Overview

The National Development Plan II (NDP II) is the second five-year national development plan of the Republic of Somaliland covering the period 2017-2021. Developed by the Ministry of National Planning and Development, the NDP II focuses on rapid economic growth, sustainable development, and poverty reduction as its core objectives.

> *"It is our happiness today to unveil the Second Plan of 2017 to 2021. Whatever the case, the country experienced the hiccups all developing countries dwindled in such as in socio-economical, environmental, accountability sectors and poverty cases."*
>
> *— President Ahmed Mohamed Mohamoud (Silanyo), Launch Ceremony, July 2017*

Goals and Targets

The NDP II aspires to achieve higher economic growth, reduce poverty, and improve human development indicators. The plan is structured around three overarching goals:

5%

13%

Target Tax-to-GDP Ratio

Target Annual GDP Growth (up from 2.6%)

7%

Manufacturing Share of GDP

10%

Export Share of GDP

Three Overarching Goals

Goal	Description
1. Poverty Reduction	Reduce poverty through increased economic opportunities and coordinated investment in youth, services, production and infrastructure
2. Climate Resilience	Increase resilience against the effects of climate change through improved management of the environment, strategic water management, food security and diversification of the economy
3. Human Rights	Maintain the human rights of every citizen through good governance, equal access to social services and economic inclusion

Five Pillars

The NDP II is strategically built upon five pillars that align with the Somaliland National Vision 2030:

Pillar	Sectors Covered	Key Focus Areas

Pillar 1: Economic Development	Economy, Energy & Extractives, Production	Growth, investment, energy access, manufacturing, agriculture
Pillar 2: Infrastructure Development	Infrastructure	Roads, ports, airports, telecommunications, public works
Pillar 3: Good Governance	Governance	Rule of law, accountability, human rights, civil service
Pillar 4: Social Development	Education, Health, WASH	Human capital, health services, water and sanitation
Pillar 5: Environment Protection	Environment	Natural resources, climate adaptation, forestry

Nine Development Sectors

The NDP II is organized around nine key development sectors, each with its own vision, objectives, outcomes, and interventions:

Sector	Key Outcomes
Economy Sector	Improved economic growth, increased tax revenue, enhanced business environment, macroeconomic stability
Energy & Extractives	Increased energy access (80% urban, 20% rural), renewable energy (10% target), oil and gas exploration
Production Sector	Agricultural productivity, livestock development, fisheries expansion, food security

Infrastructure	Improved road network, port development, airport upgrades, telecommunications expansion
Governance	Strengthened rule of law, improved public financial management, enhanced accountability
Education	Increased enrollment, improved quality, teacher training, curriculum development
Health	Better healthcare access, reduced maternal/child mortality, disease prevention
WASH	Clean water access, improved sanitation, hygiene promotion
Environment	Biodiversity protection, climate resilience, reduced deforestation, water harvesting

Cross-Cutting Themes

Underpinning the NDP II are two foundational themes that apply across all sectors:

- **Resilience:** Building capacity to withstand and recover from shocks including drought, economic volatility, and external crises
- **Human Rights:** Ensuring development is inclusive and respects the rights of all citizens

Cutting across each of the nine sectors are three new thematic areas selected by government stakeholders based on current development priorities:

- **Employment & Labour:** Addressing high unemployment, especially among youth
- **Social Protection:** Supporting vulnerable populations and building safety nets
- **Youth:** Investing in the large youth population as agents of development

SDG Alignment

The Sustainable Development Goals (SDGs) provide the technical foundation for which the NDP II has been developed. The 17 SDGs and their 169 targets have been prioritized by each of Somaliland's nine development sectors and three cross-cutting thematic areas. They have been incorporated within the NDP II as objectives (SDGs) and modified to form Somaliland sector-specific outcomes (targets) within a result-based framework.

Key Priority Interventions

During the NDP II period, development priority interventions focused on:

- Increasing domestic investment levels
- Devising sound macroeconomic stability through macroeconomic policies
- Thriving the potential tourism sector
- Bolstering Diaspora investment as an important source of assistance, investment and know-how
- Boosting country's export diversification and value chain development
- Promoting technological advancement through research and development
- Devising climate resilient practices in primary sectors
- Building enabling hard and social infrastructure
- Upholding the rule of law for improving property rights

Macroeconomic Context

The NDP II was developed against the backdrop of significant economic challenges. At the time of planning, Somaliland had:

- **GDP Per Capita:** USD 444 in 2012, one of the lowest in the world
- **Economic Structure:** Livestock (28.4%), wholesale/retail trade (21.9%), real estate (7.6%), crops (7.0%)
- **Investment Rate:** Gross capital formation at 11.1% of GDP — among the lowest globally

- **Tax Revenue:** 8.5% of GDP in 2013 (11.7% including semi-autonomous agencies)
- **Government Spending:** Around 8.5% of GDP in 2013
- **Doing Business:** Hargeisa ranked 174 out of 183 in the 2012 Doing Business Index

Planning Methodology

The NDP II followed a rigorous planning methodology:

1. **Awareness and Orientation Process:** Familiarized government, private sector, Diaspora, and international community with the planning process
2. **Macroeconomic and Social Diagnostics:** Included macro-economic, poverty, fiscal analyses, and sector analyses
3. **Setting Goals, Targets and Priorities:** Through a series of consultation and validation workshops in Hargeisa and regional centres
4. **Drafting Process and Official Release:** Final plan development and presidential launch

NDP II Achievements

During the NDP II period, Somaliland made progress despite external shocks including drought and the COVID-19 pandemic:

- **Energy:** 80.7% of urban households and 20.3% of rural/nomadic households gained access to electricity
- **Renewable Energy:** 16.2% of total installed 150 MW capacity came from renewable sources, exceeding the 10% target
- **Oil Exploration:** Seismic surveys covered 17% of Somaliland's land mass, exceeding the 10% target
- **Biodiversity:** 5,000 km² gazetted as protected areas and four biodiversity hotspots identified
- **Energy Tariffs:** 35% reduction in average tariff charged by energy service providers in major towns

- **Clean Energy Investment:** US$34 million ESRES program, US$2.6 million SEAP program, and other renewable energy initiatives

Policies and Legal Frameworks

During the NDP II period, several key policies and legal instruments were developed to support implementation, including frameworks for energy, extractives, environment, and governance sectors.

VIII. National Development Plan III (2023-2027)

Overview

The National Development Plan III (NDP III) is the third five-year national development plan of the Republic of Somaliland covering the period 2023-2027. Developed by the Ministry of Planning and National Development, the NDP III is a medium-term strategy designed to unlock the country's potential in all sectors of the economy to achieve inclusive, sustainable development and poverty reduction.

> *"This plan is one where we will achieve economic development in every aspect, so institutions and the nation must take ownership of its implementation, because it is in our interest and our future since we cannot survive on alms and grants so we need to develop our minds, and strive to progress."*
>
> *— President Musa Bihi Abdi, NDP III Launch, February 28, 2023*

Relationship to NDP II

The NDP III builds on the achievements and lessons learned during the NDP II period (2017-2021), which concluded in December 2021. During the NDP II period, the country grappled with external shocks and persistent drought in the sub-region. The global shock of the COVID-19 pandemic taught Somaliland — and the entire world — the importance of building resilience in the economy, especially for the poor and vulnerable.

Key Updates from NDP II to NDP III

Feature	NDP II (2017-2021)	NDP III (2023-2027)
Pillars	5 Pillars	6 Pillars (added Judiciary)
Sectors	9 Sectors	10 Sectors (added Social Protection)
Social Protection	Cross-cutting theme	Dedicated sector under Social Development pillar
Judiciary	Part of Governance sector	Separate pillar to accommodate courts
Climate Focus	Environment protection	Climate change adaptation and resilience strengthened

Six Pillars of NDP III

Expanding upon the five pillars of the National Vision 2030 and the NDP II, the National Planning Commission decided to introduce changes in the planning structure of NDP III:

Pillar	Sectors	Key Objectives
1. Economic Development	Economy, Energy & Extractives, Production	Diversified economy, energy access, increased production
2. Infrastructure Development	Infrastructure	Climate-resilient roads, ports, airports, ICT, water facilities
3. Good Governance	Governance	Democracy, rule of law, accountability, public financial management

4. Social Development	Education, Health, WASH, Social Protection	Human capital, healthcare, water access, social safety nets
5. Environmental Protection	Environment	Nature-based solutions, ecosystem adaptation, climate resilience
6. Judiciary Development (NEW)	Judiciary	Independent courts, judicial capacity, access to justice

Ten Development Sectors

The NDP III is organized around ten development sectors, expanded from nine in the NDP II:

Sector	Pillar	Key Focus
Economy	Economic Development	Business environment, investment, trade facilitation, macroeconomic stability
Energy & Extractives	Economic Development	Renewable energy expansion, mining, oil and gas exploration
Production	Economic Development	Agriculture, livestock, fisheries, food security, value chains
Infrastructure	Infrastructure Development	Roads, ports, airports, telecommunications, public works
Governance	Good Governance	Public financial management, civil service, anti-corruption

Education	Social Development	Access, quality,TVET, higher education, teacher development
Health	Social Development	Healthcare access, maternal/child health, disease prevention
WASH	Social Development	Water supply, sanitation, hygiene promotion
Social Protection (NEW)	Social Development	Social safety nets, vulnerable groups, climate adaptation
Environment	Environmental Protection	Climate resilience, biodiversity, nature-based solutions

Cross-Cutting Themes

As in the NDP II, the underpinning themes of Resilience and Human Rights are key and critical conceptual areas that provide the foundational basis for development that each sector rests upon.

Cutting across each of the ten sectors are the following thematic areas:

- **Displacement Affected Communities:** Supporting populations displaced by conflict or drought
- **Gender:** Ensuring equal participation and benefits for women and men
- **Children's Rights:** Protecting and promoting the rights of children
- **HIV/AIDS:** Prevention, treatment, and support for affected populations
- **People with Disabilities:** Ensuring inclusive development for persons with disabilities
- **Youth:** Investing in the large youth population as agents of change

National Flagship Programmes (NFPs)

The implementation of the NDP III involves the government engaging with development partners to jointly formulate National Flagship Programmes with clearly defined plans, budgets, implementation arrangements, and committed finances. These NFPs are designed to address the following priorities:

> ***Priority 1:*** *Boosting Somaliland's economic and private sector development and exploring and maximizing opportunities and multiplier effects created by recent significant private sector investments.*

> ***Priority 2:*** *Improving the resilience and livelihoods of agro-pastoral and pastoral communities in areas most vulnerable to climate change and recurring droughts.*

> ***Priority 3:*** *Developing climate-smart infrastructure in partnership with local governments and the private sector to improve access to affordable services crucial for developing value chains and private sector initiatives, such as energy, water, roads, ICT, and markets.*

> ***Priority 4:*** *Broadening and accelerating support to the decentralization process that was started with support from the UN Joint Programme on Local Governance (JPLG).*

Infrastructure Investment

Somaliland aims to build advanced infrastructure that enables economic and social development while facilitating local, regional, and global trade. The priority is a domestic road network that connects the different parts of the country.

37.71%

NDP III Cost Allocated to Climate-Resilient Infrastructure

10

Development Sectors

6

Strategic Pillars

Investing in resilient infrastructure is a key strategy for adapting to climate change and will save billions of dollars worth of damages while reducing vulnerabilities. More resilient infrastructure assets pay for themselves with extended lifecycles and more reliable services.

Climate Change and Water

Recurrent droughts from declining rainfall have significantly reduced the availability of water in Somaliland. Water scarcity kills livestock, dries crops, and forces pastoralists and agro-pastoralists to move in search of water and pasture. In urban areas, families prioritize water for cooking and drinking and forgo bathing and washing clothes during dry seasons when water is scarce and expensive.

In its implementation, the NDP III invests in rainwater harvesting systems to increase water availability, recognizing that water security is fundamental to all other development objectives.

Environment and Nature-Based Solutions

Over the past two decades, the degradation of natural resources and deforestation, mainly driven by charcoal production and overgrazing, have rapidly increased Somaliland's vulnerability to climate change-induced droughts and desertification. The Environment chapter of the NDP III outlines nature-based solutions or ecosystem-based adaptations for the climate crisis, including:

- Planting trees in urban and rural areas and on mountain slopes
- Planting mangroves in coastal areas to reduce heatwaves
- Providing natural sea defences from storm surges
- Preventing desertification through ecosystem restoration

Social Protection

One of the notable updates to the NDP III is the addition of the Social Protection sector and climate change adaptation alternatives to strengthen the economy's resilience to recurrent shocks. Implementing the NDP III strengthens vulnerable groups' resilience and reduces their exposure and vulnerability to climate-related events and shocks.

Key social protection measures include:

- National social protection systems for vulnerable groups including women and children
- Support for people with disabilities and displacement-affected communities
- Programmes for people living with HIV/AIDS
- Ensuring equal rights to economic resources, access to basic services, and ownership and control over productive resources

Macroeconomic Framework

The Somaliland economy continues to grow, riding on the peace dividend as well as the government's commitment to diversify the economy away from pastoralism.

Prospects remain good in the medium and long term. The macroeconomic framework to support growth within the period of NDP III, in line with the objectives of Vision 2030, will specifically include reforms in:

- Improving the business environment for domestic investors and attracting foreign direct investment
- Easing the process for registering businesses through one-stop shops
- Enhancing financing conditions
- Improving energy access and lowering costs to reduce the burden on businesses

Monitoring and Evaluation

The government will commit sufficient resources to monitor the NDP III during its implementation. All ministries, departments, and agencies (MDAs) are called upon to reinforce their internal capacity to continuously monitor progress through outcome targets and annual operational benchmarks. A separate NDP III Monitoring, Evaluation, Accountability, and Learning (MEAL) supplement provides technical guidance to MDA staff to harmonize monitoring and reporting efforts across government institutions.

> *"The learning from the mid- and end-term evaluations will offer vital recommendations for the formulation of Somaliland's next Vision Paper. It is critical that monitoring and evaluation are conceived and implemented as joint exercises, leading to broad ownership of conclusions and recommendations."*

Relationship to Vision 2030

The NDP III is aligned directly to Somaliland's National Vision 2030, which articulates the long-term aspirations of the country. The Vision 2030 pillars — Economic Development, Infrastructure Development, Good Governance, Social

Development, and Environmental Protection — form the foundation upon which the NDP III is built. The NDP III serves as the medium-term vehicle for achieving the socio-economic transformation envisioned in Vision 2030.

IX. Inflation and Currency Depreciation

Exchange Rate History

The Somaliland Shilling (SLS) has experienced significant depreciation against the US Dollar over the past six years. This depreciation has had profound effects on the cost of living, business operations, and economic stability across the country.

8,500

SLS/USD (March 2019)

9,350

SLS/USD (July 2024)

11,000

SLS/USD (July 2026)

-35%

Currency Depreciation (2019-2026)

Year	Average Exchange Rate (SLS/USD)	Annual Inflation Rate	Key Events
2019	8,350 - 9,918	6.9% - 7.7%	Currency appreciated; lowest inflation in years
2020	9,000 - 9,500	5.3% - 6.3%	COVID-19 pandemic; economic disruption

2021	9,200 - 9,800	5.3%	Post-pandemic recovery; persistent drought
2022	9,000 - 9,500	8.5%	Global commodity price shocks; livestock export challenges
2023	8,500 - 9,000	7.0%	NDP III launch; relative stability
2024	9,000 - 10,696	9.73%	Rising food prices; exchange rate pressure
2025	9,989 - 11,500	8.06%	Central bank interventions; new exchange rate policy
2026	11,000 - 11,500	N/A	New official rate of 11,000/11,100 SLS/USD set

Causes of Inflation and Currency Depreciation

The depreciation of the Somaliland Shilling reflects a combination of structural and external economic pressures that have intensified over recent years:

1. Heavy Import Dependency

Somaliland imports over 45% of its GDP in goods, with consumer goods making up 73% of imports. This massive import bill creates constant demand for US dollars, putting downward pressure on the shilling. Basic necessities including food, fuel, and manufactured goods must be imported, making the economy highly vulnerable to external price shocks.

2. Limited Export Earnings

While livestock is the primary export, periodic bans by Saudi Arabia and other Gulf states on livestock imports from the Horn of Africa have severely reduced export earnings. This creates an imbalance where import demand far exceeds export revenue, leading to sustained pressure on the exchange rate.

3. High Demand for US Dollars

The economy is heavily dollarized, with most large transactions, savings, and business dealings conducted in US dollars. This creates artificial demand for dollars beyond what trade flows would suggest, as citizens prefer to hold savings in a more stable currency.

4. Expanding Money Supply

The domestic money supply has expanded significantly, with the Central Bank printing shillings to finance government operations. This monetary expansion, combined with limited foreign reserves, has contributed to currency depreciation.

5. Global Economic Shocks

The COVID-19 pandemic (2020-2021), global commodity price increases (2022), and regional drought conditions have all contributed to inflationary pressures. These external shocks have raised the cost of imports and reduced economic output.

6. Limited Foreign Reserves

Somaliland has no access to international finance, no IMF bailouts, and no sovereign bond market. The Central Bank's ability to intervene in the foreign exchange market is severely limited by its small reserves, making the currency vulnerable to market speculation.

7. Informal Currency Markets

The informal currency market (black market) often sets exchange rates that diverge significantly from official rates, creating arbitrage opportunities and further destabilizing the currency. Unlicensed money changers can disrupt market stability.

Inflation Impact on Citizens

High inflation and currency depreciation have severely affected the purchasing power of ordinary Somalilanders:

> ***Example:*** *A basket of goods that cost 85,000 SLS (approximately $10) in 2019 now costs approximately 115,000 SLS — a 35% increase in the cost of basic necessities in just six years.*

- **Food Prices:** Food and non-alcoholic beverages account for 41.75% of the consumer price index, making food inflation the single largest driver of overall inflation
- **Household Budgets:** Low-income families spend up to 70% of their income on food, leaving little room to absorb price increases
- **Business Operations:** Businesses face rising costs for imported inputs, reducing profit margins and limiting expansion
- **Savings Erosion:** Shilling-denominated savings lose value rapidly, encouraging dollarization and discouraging local currency savings

Monetary Policy Tools to Control Inflation

The Bank of Somaliland has implemented several monetary policy tools to combat inflation and stabilize the currency:

1. Open Market Operations (OMO)

The primary tool used by the Central Bank. OMO involves buying or selling government securities and foreign currency in the open market to regulate money supply:

- **Open Market Sale:** When the shilling depreciates, the Bank injects US dollars into the market and withdraws shillings, reducing the money supply
- **Open Market Purchase:** When the shilling appreciates too much, the Bank injects more shillings into the market
- **Recent Actions:** In May 2025, the Bank injected $1 million into the market to reduce pressure on the exchange rate

2. Foreign Exchange Auctions

The Bank conducts regular foreign exchange auctions where licensed foreign exchange dealers participate in a transparent process to buy and sell dollars. This helps set market rates and absorb excess liquidity.

3. Currency Pegging Operations

The Bank periodically pegs the exchange rate to stabilize the market. For example, in July 2024, the Bank set the official rate at 9,350-9,450 SLS/USD and warned money changers to adhere to the stipulated rate.

4. Reserve Requirements

Planned for implementation, reserve requirements would mandate that commercial banks hold a certain percentage of deposits as reserves, limiting the money supply available for lending and reducing inflationary pressure.

5. Regulatory Enforcement

The Bank actively enforces regulations against illegal money changers. In one operation in Tog-Wajaale, approximately 70 unlicensed money exchangers were shut down for disrupting market rates.

6. New Official Exchange Rate (2026)

In July 2026, the Bank set a new official exchange rate of 11,000/11,100 SLS/USD, designed to:

- Eliminate currency arbitrage between official and black-market rates
- Narrow the gap between official and informal market rates by over 10 percentage points
- Enhance market transparency
- Establish a more resilient foundation for long-term financial stability

7. Mobile Money Regulations

In 2025, the Bank introduced measures to halt USD mobile money transactions under $100 and suspend loans to civil servants, helping to reduce demand pressure on foreign currency.

Structural Challenges in Controlling Inflation

Challenge	Description	Impact on Inflation Control
No International Recognition	Somaliland cannot access IMF, World Bank loans, or sovereign bonds	Limited foreign reserves to intervene in currency markets
Dollarized Economy	Most savings and large transactions in US dollars	Artificially high demand for dollars beyond trade needs
Import Dependency	Over 45% GDP in imports; 73% consumer goods	Constant demand for foreign currency
Limited Export Base	Livestock is 90%+ of exports; vulnerable to bans	Insufficient foreign currency earnings
Weak Institutional Capacity	Limited technical expertise and data collection	Difficulty implementing sophisticated monetary policy

Large Informal Economy	Most economic activity outside official systems	Limited effectiveness of monetary policy tools

Recommendations for Inflation Control

Economic experts and international organizations have recommended the following strategies to control inflation and stabilize the currency:

Monetary Policy Reforms

- **Strengthen Central Bank Independence:** Enhance the Bank of Somaliland's capacity to conduct independent monetary policy without political interference
- **Implement Reserve Requirements:** Use reserve requirements as a tool to control money supply and limit excessive lending
- **Develop Treasury Bill Market:** Create a government securities market to enable more effective open market operations
- **Build Foreign Reserves:** Establish a strategic foreign currency reserve to enable meaningful market intervention

Fiscal Policy Measures

- **Control Government Spending:** Reduce fiscal deficits that require monetary financing
- **Increase Tax Revenue:** Broaden the tax base and improve collection efficiency
- **Prioritize Productive Investment:** Direct government spending toward infrastructure that boosts production

Structural Economic Reforms

- **Promote Local Production:** Invest in agriculture, livestock processing, and manufacturing to reduce import dependency

- **Export Diversification:** Expand beyond livestock exports to minerals, fisheries, and services
- **Berbera Port Development:** Leverage the port expansion to increase trade revenue and attract investment
- **Value-Added Processing:** Process raw materials domestically before export to increase export earnings

Financial Sector Development

- **Formalize Remittances:** Channel diaspora remittances through the banking system for productive investment
- **Reduce Dollarization:** Create incentives for shilling-denominated savings and transactions
- **Strengthen Banking Regulation:** Ensure commercial banks comply with prudential standards
- **Expand Credit Access:** Increase private sector credit to stimulate local production

> *"Addressing inflation and currency depreciation requires a coordinated approach that integrates policy discipline, production capacity, and economic resilience strategies. The Central Bank of Somaliland must work in coordination with fiscal authorities and international partners to achieve lasting price stability."*
>
> *— Adani Research and Consultancy Analysis (2026)*

X. Key Economic Sectors

1. Livestock Sector

Livestock is the backbone of Somaliland's economy, contributing 30-45% of the country's GDP. Somaliland has approximately:

- 1.69 million camels
- 0.40 million cattle
- 8.4 million goats
- 8.75 million sheep

Sheep and goats make up 91% of livestock exports, with 2.352 million exported through Berbera port annually. The country is home to some of the largest livestock markets in the Horn of Africa, with as many as 10,000 heads of sheep and goats sold daily in the markets of Burao and Yirowe.

2. Trade and Commerce

Wholesale and retail trade accounts for approximately 21.9% of GDP. The Berbera port is the main gateway for trade, handling livestock exports and consumer imports. In 2016, the Somaliland government signed an agreement with DP World to manage the strategic port of Berbera, with the aim of enhancing productive capacity and acting as an alternative port for landlocked Ethiopia.

3. Agriculture

Agriculture is generally considered to be a potentially successful industry, especially in the production of cereals and horticulture. However, crop production is limited, although there are some farming enterprises growing vegetables and fruits. The sector faces challenges from the semi-arid climate and irregular rainfall.

4. Telecommunications

The telecommunications sector has experienced significant growth, with major players including Telesom, Telecom Somalia, Somtel, Africa Online, Nation Link, and Soltelco. The sector has been instrumental in driving mobile money adoption and financial inclusion.

5. Mining and Minerals

Somaliland is rich in natural resources such as gypsum, rare earth minerals including Columbite Tantalite and Molybdenum, and a vast array of gemstones like Emerald, Sapphire, Ruby, Aquamarine, Opal, and Garnet. Mining also has potential, though simple quarrying represents the extent of current operations.

6. Fisheries

Somaliland has a clean coastline that offers fishing opportunities. The fisheries sector is currently underutilized but offers significant potential for growth and diversification.

7. Energy

There is a rising demand for reliable and affordable energy to support economic development and improve living standards. This shift is creating substantial opportunities for renewable energy investments, particularly in solar and wind power.

XI. Investment Opportunities

Strategic Advantages

- **Strategic Location:** Along major global trade routes with direct access to markets in the Middle East, Africa, and beyond
- **Rich Resources:** Agriculture, livestock, fisheries, minerals, and renewable energy
- **Infrastructure Development:** Berbera Port and economic corridors enhancing connectivity
- **Stable Political Environment:** Over 30 years of peace and stability
- **Favorable Investment Incentives:** Government support for investors

Priority Sectors for Investment

Sector	Opportunities	Investment Range
Livestock Processing	Meat processing, dairy, leather tanning	$15M - $40M
Agriculture	Modernizing farming, crop production, agro-processing	$5M - $25M
Fisheries	Fish processing, value-added products	$3M - $15M
Renewable Energy	Solar, wind power projects	$10M - $50M
Manufacturing	Food processing, textiles, construction materials	$5M - $30M
Tourism	Eco-tourism, cultural tourism	$2M - $20M

Mining	Gemstones, rare earth minerals	$10M - $100M

Berbera Economic Zone

The Berbera Economic Zone (BEZ) is a game-changer for Somaliland's industrial development. It offers world-class infrastructure, tax incentives, and strategic access to global markets via the Berbera Port, attracting both local and international manufacturers. The zone is designed to host a range of modern industrial facilities with priority areas including livestock and agro-processing, textiles and garment production, construction materials manufacturing, and food and beverage processing.

Berbera Corridor Project

The Berbera Corridor project, connecting the port to Ethiopia, presents significant opportunities for economic development. The project is expected to:

- Create thousands of direct and indirect jobs across the economy
- Promote dynamic comparative advantages by supporting local industries
- Increase fiscal revenue through an expanded tax base
- Enhance regional trade integration

XII. Challenges and Future Outlook

Current Challenges

Challenge	Description	Mitigation Strategy
Limited Recognition	Lack of international recognition limits access to international financial markets and aid	Diplomatic engagement, bilateral agreements
Climate Vulnerability	Semi-arid climate with irregular rainfall affects agriculture and livestock	Investment in irrigation, drought-resistant crops
Livestock Dependency	Over-reliance on livestock exports creates economic volatility	Economic diversification, value-added processing
Limited Infrastructure	Road network, energy, and water infrastructure gaps	Public-private partnerships, international investment
Regulatory Framework	Underdeveloped regulatory frameworks for banking and financial services	Banking reforms, international standards adoption
Human Capital	Limited skilled workforce in some sectors	Education and training programs, capacity building

Future Outlook

Despite the challenges, Somaliland's economic future looks promising. The country has demonstrated remarkable resilience and ability to rebuild from conflict. Key factors that will drive future growth include:

- **Berbera Port Development:** The $1 billion investment in Berbera port and economic zone
- **Banking Sector Modernization:** Ongoing reforms and international partnerships
- **Digital Transformation:** Mobile money and fintech innovation
- **Diaspora Engagement:** Remittances and investment from the large Somaliland diaspora
- **Regional Integration:** Trade agreements and economic corridors with Ethiopia and Djibouti

> *"Somaliland is building out a formal banking sector, bank by bank — and the project is gathering pace. Each newly licensed, regulated bank widens the range of formal financial services available to businesses and households — and deepens the institutional credibility of the financial sector as a whole."*

Conclusion

Somaliland's banking system and economy have made significant progress over the past three decades. The country has built a functional financial system from scratch, achieved remarkable financial inclusion rates, and maintained economic stability despite the lack of international recognition. With ongoing reforms, infrastructure development, and strategic investments, Somaliland is well-positioned to achieve its vision of sustainable economic growth and prosperity.

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Note: Data and statistics are based on the most recent available sources. Exchange rates and inflation figures may vary between official and informal markets.